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What's News

Business & Finance

◆ **A flight to bonds** considered safe drove U.S. Treasury yields lower, while those of French, Italian and Greek bonds jumped in a sudden divergence. Among major U.S. stock indexes, the S&P 500 rose 0.2% while the Dow and Nasdaq were little changed. **A1, A8, B1, B6**

◆ **More Fed officials**, including Vice Chair Philip Jefferson, suggested that policymakers may need more time before deciding whether to raise interest rates again. **A2**

◆ **OpenAI fired** three researchers for alleged misconduct, including sharing confidential company information with a third-party AI-safety organization. **B1**

◆ **Toy maker Mattel**, dealing with a sliding stock and a CEO transition, recently attracted takeover interest from licensing group Authentic Brands. **B1**

◆ **Boeing's white-collar** workers approved its latest contract offer, pulling the company away from a potential strike that could have interrupted its fragile recovery. **B1**

◆ **Paramount's** David Ellison asked CNN CEO Mark Thompson to stay at the helm of the cable news network after the acquisition of Warner Bros. Discovery closes. **B1**

◆ **Disney is planning** a restructuring of its television operation that is expected to result in hundreds of layoffs and the consolidation of divisions. **B1**

◆ **Lynas Rare Earths** agreed to buy Meteoric Resources in a deal that gives Lynas a foothold in Brazil's rare-earths industry. **B5**

Worldwide

◆ **Cornell students** demanded answers about the university's handling of a former student's allegations that she was drugged and raped by seven fraternity brothers, while New York's governor appointed state Attorney General Letitia James to oversee the investigation. **A3**

◆ **Tennessee Gov.** Bill Lee halted executions in the state after a woman convicted of murder survived two doses of lethal injection. **A3**

◆ **The family of** Renee Good, the Minnesota woman fatally shot by an ICE agent in January, filed two wrongful-death lawsuits against top Trump administration officials and the man who killed her. **A3**

◆ **The Pentagon is** sending a third aircraft-carrier strike group and additional Marine Corps ships to the Middle East, adding 9,000 to 10,000 more troops to the region. **A6**

◆ **The U.A.E. opened** an investigation into the stabbing on a FlyDubai flight bound for Israel, saying authorities would examine whether terrorist activity played a role in the attack. **A6**

◆ **Democratic lawmakers** urged the State Department to review the conduct of Kimberly Guilfoyle, the U.S. ambassador to Greece. **A5**

◆ **The Treasury Department** will let married couples count as two taxpayers for a novel school-choice tax credit, significantly expanding the program. **A3**

◆ **Ethiopia severed** diplomatic relations with Eritrea, hours after drones attacked targets in Addis Ababa, the Ethiopian capital. **A9**

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Indian pilot Smit Machchhar is honored in Mumbai for averting an air disaster after he was stabbed in a FlyDubai jet cockpit.

Coolheaded FlyDubai Captain ‘Saved Everything’ in Attack

Indian pilot hailed for his quick actions after he was stabbed; a cockpit ‘full of blood’

By KRISHNA POKHAREL AND AAKASH HASSAN

NEW DELHI—As an aviator, Smit Machchhar had piloted through an in-flight birth, monsoon skies and a high-wire landing in Greece that stretched his skills to the limit. On Wednesday, the 38-year-old Indian pilot faced a midair incident of a completely different sort: a violent stabbing attack from within the cockpit.

Capt. Machchhar fought off

his attacker while in charge of a FlyDubai Boeing 737 MAX 8 jet to Tel Aviv, apparently managing to alert air-traffic control, open the cockpit door and allow passengers and crew to rescue the plane from a petrifying plunge.

His heroism was hailed by Israeli Prime Minister Benjamin Netanyahu and Indian Prime Minister Narendra Modi.

Machchhar suffered severe wounds to his neck and hands, said a dentist who treated the pilot on board Flight 1073 after restraining the attacker. “The cockpit was full of blood,” said Shota Musaev on Israeli Army Radio on Thursday.

The captain's left hand had almost split in half as a result

of stab wounds, Musaev said.

When Machchhar's pulse began to drop and he started to lose consciousness, Musaev called for the reserve pilots—who had by then taken charge of the plane—to land as soon as possible. The plane, which was carrying more than 170 passengers and crew, landed in Tabuk, a city in northwest Saudi Arabia. “I don't think he would have survived all the way to Israel,” he said.

Machchhar is receiving treatment for his wounds in the United Arab Emirates, where he was transferred on Thursday from Saudi Arabia, the Indian government said. His family was traveling to meet him, said Indian lawmaker Parag Shah,

who said he had spoken to the pilot's family.

Those who have worked with Machchhar, who lives with his wife and two children in Dubai, and others who know his family in Mumbai, describe him as very sober and grounded.

During almost two decades as a pilot, he has landed at some of the world's highest and most challenging airports, mentored at an aviation academy in India to help give others a leg up into the airline industry and dealt with a number of in-flight

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◆ **Attack exposes hole in** Dubai aviation security... A6

Decades Later, DOJ Reviews If Nixon Got A Raw Deal

By PHILIP WEGMANN AND SADIE GURMAN

WASHINGTON—For nearly two years, the Justice Department has made it a priority to investigate people who previously investigated President Trump. Now it is reaching back in history to consider whether prosecutors mistreated an earlier Republican president: Richard Nixon.

The department is reviewing whether the special prosecutor's office that investigated the famed Watergate break-in committed misconduct, according to people familiar with the matter, more than half a century after that scandal led to Nixon's resignation.

Geoff Shepard, a former Nixon aide turned Watergate historian and revisionist, recently gave a two-hour presentation at Justice Department headquarters that laid out his theory that the deep state took Nixon down. The title of his 78-page slide deck: “Watergate As Lawfare.”

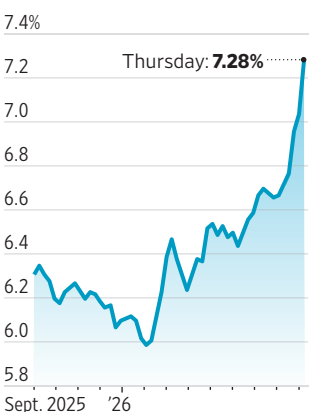
The review comes at a moment of renewed interest in the Nixon legacy. Republicans see in the combative former president, who was loathed by the press and besieged by investigations, a historical analogue for Trump. During remarks at the Nixon Presidential Library in Yorba Linda, Calif., this summer, Vice President JD Vance made the comparison explicit.

“If you look at the story of

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High Rates, Prices Stymie House Hunters

Average rate on a 30-year fixed mortgage



Source: Freddie Mac

By NICHOLAS G. MILLER

With mortgage rates breaking through 7%, some home buyers are considering the familiar strategies for lowering their monthly payments such as putting more money down, using adjustable-rate mortgages and even buying in cash.

House hunters still face a financial double whammy rarely seen: rapidly rising mortgage rates and home prices that, while growing more slowly, keep hitting record highs. That has made the postpandemic housing market one of the most challenging in recent memory and limits the

financial maneuvering available to would-be buyers.

Increasing the size of the down payment would help offset the monthly bill that comes with a higher mortgage rate. But home prices are up more than 50% since 2019, and many buyers are struggling to find the cash to boost their deposits above the typical 10% to 15% down.

That has scrambled the usual buyer playbook for adjusting to higher borrowing costs. Typically, when mortgage rates rise, sellers have to cut prices to keep buyers in the market. But for years, supply has lagged behind as many

homeowners have opted to stay put to preserve the 3% to 4% mortgage rates that they secured in the wake of the Covid pandemic.

This lock-in effect—homeowners refusing to sell and give up a low mortgage rate they locked in years ago—has allowed prices to continue rising, even as demand has sagged. The national median existing-home price in August increased 1.6% from a year earlier, to \$429,100, an August record. That is despite sales falling to their lowest level and interest rates pushing to their highest

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How to Build a Toy Empire: Always Be Downsizing

* * *

Alan Dorfman spends every waking hour making the tiniest versions of classic toys

By NATASHA KHAN

Alan Dorfman held an Etch A Sketch over a laundry tub, picked up a hacksaw and sawed the device in half, spilling silver powder everywhere. Jackpot.

Gutting the Etch A Sketch helped Dorfman better understand the intricacies of the tablet so he could recreate it in miniature form. His company released a palm-sized version on a keychain later that year—and has sold about 10 million of them.

Most entrepreneurs dream big. Dorfman does the opposite.

He spends every waking hour trying to shrink things to

their smallest possible size without losing their functionality. He has churned out miniature versions of thousands of products including the Rubik's Cube, the Operation board game and Hungry Hungry Hippos.

In a world of endless entertainment options, somehow there's growing demand for impossibly tiny toys. Dorfman says Americans' enduring appetite for novelty has gotten stronger recently as people seek out the low-tech thrills of earlier eras.

The 66-year-old never imagined this would be his life's work. Growing up in Philadelphia, he had dabbled

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Google's AI Push In Schools Fuels Alarm

Teachers and students say learning is suffering; ‘it was hard to think’

Faced with quadratic equations, Richard Scott couldn't resist the temptation.

The Pennsylvania eighth-grader knew that the Google search box on his school lap-

By Shalini Ramachandran, Georgia Wells and Molly Reinmann

top was essentially an AI chatbot that would helpfully spit out answers. He started popping algebra questions into the search bar to quickly finish off his daily school-work.

By the end of the school year, Scott's grades were tanking. He had started leaning on Google's AI-assisted

search for other classes, like when he needed to label the parts of a volcano or write an essay about Edgar Allan Poe's “The Raven.” His grades in math—a subject he'd done well at previously—suffered the worst. Even though he got mostly B's in the quarterly marking periods, according to his transcript, he failed the final.

“It slowed my thinking down,” the now-15-year-old said. “When I was in a test and I couldn't use AI, it was hard to think.”

No tech giant has been more aggressive in putting AI in front of schoolchildren than Google. The search engine juggernaut's ubiquitous presence in American class-

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Global Bond Selloff Is Taking New Turn

U.S. and European yields diverge after unwinding of popular hedge-fund trades

The monthslong rout in global government bonds is getting messier and weirder.

For weeks, the bonds of most developed economies have moved broadly in tandem, but not on Thursday. A flight to bonds considered safe drove U.S. Treasury yields lower, while those of French, Italian and Greek bonds jumped in a sudden divergence helped by the unwinding of popular hedge-fund trades centered on Europe, fixed-income analysts and traders said.

By Chelsey Dulaney, Alexander Osipovich and Sam Goldfarb

The moves represented a reprieve of sorts for the U.S., a day after the yield on the 10-year Treasury note had reached its highest level in more than 24 years, promising steeper borrowing costs.

But it was also a reminder of how extended selloffs in bonds can cause unexpected problems. “Markets have a faint smell of a crisis in the making,” said Ed Al-Hussainy, a portfolio manager at Columbia Threadneedle.

Thursday's action exposed the complicated nature of this year's bond selloff. Yields across the developed world have been propelled higher since March on concerns that rising energy prices spurred by the Iran conflict will force cen-

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◆ **Rout deepens even as** tankers sail in strait..... B1

◆ **Investors urged to give bond** market another chance.... B6